

TAB 8



Board of Education Report

File #: Rep-244-23/24, **Version:** 1

Consideration of Two Business Improvement District Petitions

April 9, 2024

Facilities Services Division

Action Proposed:

Support of the renewal of the North Hollywood Transit and Hollywood Media Business Improvement District (BID) Petitions within the City of Los Angeles (City), conditioned upon the BIDs providing a discount of 50% or more of the proposed annual assessment, and authorize the Chief Facilities Executive or her designee to submit a petition(s) and subsequently a ballot(s), and/or execute any other reasonable instruments on behalf of Los Angeles Unified.

Background:

A BID is formed when interested parties unite to propose a BID to serve a specific purpose for an identified geographic area. The BID proposal identifies the general services, activities, and programs to be paid for through special assessments charged to all property owners within the BID. BID provides enhanced services which may include private security patrols (often referred to as ambassadors), sidewalk cleaning and pressure washing, graffiti removal, landscaping, maintenance improvements, special events, BID branding and marketing.

Each BID develops an annual budget based upon the services provided. The amount of each property owner's assessment of the budget is typically based on a formula that includes the square feet of the parcel and its buildings, and linear foot of frontage of the parcel. The assessments are collected by the City, placed in a trust fund for each BID and funds are periodically released to support operations withing the particular BID. A BID can range from three to 10 years in duration. In order to form a BID or renew a BID, a majority of the property owners (50.1%) in the BID area must affirmatively vote in support. BID petitions are submitted to the City Clerk for review and must receive approval by the Los Angeles City Council. Ballots are then mailed by the City to the property owners. In order for the BID to be approved, the City must receive a positive response from the majority of the ballots received.

The North Hollywood Transit and Hollywood Media BIDs are both seeking a renewal of its BID. The BIDs will need to submit the petition to renew to the City for the City Council to approve the renewal. Subsequently, the City Clerk will distribute ballots to property owners to vote on the renewal. North Hollywood Transit and Hollywood Media BIDs are scheduled to renew as of January 2025. The North Hollywood BID provides trash removal, street sweeping, graffiti removal, removal of bulky items, pressure washing, landscaping, marketing and branding, utilize a district hotline number to respond to issues, and safety officers visibly patrolling the BID and act as eyes and ears of the community. The Hollywood Media BID provides trash removal, street sweeping, graffiti removal, removal of bulky items, pressure washing, landscape and beautification programs, marketing and branding, and safety officers patrolling the BID.

Historically, Los Angeles Unified has negotiated and received a reduced special assessment per BID. Los Angeles Unified will continue to negotiate a reduced special assessment per BID.

The annual amount for the special assessment projected by the BID management teams for the North Hollywood Transit and Hollywood Media BIDs is approximately \$171,310.04. Board of Education (Board) authority to support the BID renewals would be conditioned upon the BIDs agreeing to a reduction in the assessment of at least 50% of the proposed amount in the North Hollywood Transit and Hollywood Media BIDs, which is approximately \$34,434.20 for 2025. If a BID does secure the required support, Los Angeles Unified would still be responsible for encumbering and paying the cost associated with the special assessments. Staff would still attempt to seek discount on the assessments.

BID	Term	*Proposed Assessment (2025)	Negotiated Discounted Assessment	Los Angeles Unified Properties within BID
Hollywood Media	2025-2035	\$67,016.07	\$6,696.36	Bancroft Middle School Vine Street Elementary Vine Street EEC
North Hollywood Transit	2025-2031	\$104,293.97	\$27,737.84	East Valley High School Lankershim Elementary
		\$171,310.04	\$34,434.20	

*Proposed assessment subject to annual increases based on the BID budget

The North Hollywood Transit is located in Region North, Board District 6 (Kelly Gonez) and Hollywood Media BID is located in Region West, Board District 4 (Nick Melvoin).

Expected Outcomes:

Approval of the action will authorize the Chief Facilities Executive or her designee to execute the petitions in support of renewing the identified BIDs within the City, conditioned upon the BIDs providing a discount of at least 50% or more to Los Angeles Unified on the annual assessment and pay the annual assessment for each BID if the BID is renewed.

Board Options and Consequences:

A “yes” vote by the Board will authorize the Chief Facilities Executive or her designee to execute the petition of the BIDs including all necessary agreements to confirm support of the BIDs, request the City Clerk to assess Los Angeles Unified an amount that is no more than 50% of the annual assessment, and provide the necessary General Funds to encumber the cost of the special assessment annually.

A “no” vote may result in one or both BIDs failing to obtain a majority affirmative vote of the property owners in the BID to be renewed. However, if a BID does secure the required support, Los Angeles Unified would still be responsible for encumbering and paying the cost associated with special assessments. Staff would continue to seek a discount on the assessments.

Policy Implications:

Los Angeles Unified does not have a current policy with regard to BIDs. The proposed action advances Los Angeles Unified’s 2022-2026 Strategic Plan Pillar 3 Engagement and Collaboration Leading for Impact by growing and leveraging partnerships with community-based organizations.

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Budget Impact:

If successful in negotiating a discount on the assessment, the projected annual amount for the special assessment of these two BIDs in 2025 would begin at approximately \$34,434.20 in 2025 and subject to increases based on the BID budget annually thereafter. Annual assessment for the BIDs will be provided by the General Fund.

Student Impact:

Improve cleanliness and safety around the school perimeter and surrounding neighborhood.

Equity Impact:

A BID is a geographically defined area within the City, in which services, activities, and programs are paid for through a special assessment., which is charged to all members within the district in order to equitably distribute the benefits received and the costs incurred to provide the agreed-upon services, activities, and programs.

Issues and Analysis:

Article 13 D (Proposition 218) of the State Constitution states that “parcels within a Business Improvement District that are owned or used by any public agency, the State of California or the United States shall not be exempt from assessment unless the agency can demonstrate by clear and convincing evidence that those publicly owned parcels, in fact, receive no special benefit.”

Los Angeles Unified is not obligated to support the formation or renewal of a BID. Regardless of Los Angeles Unified’s support, if a BID is approved, Los Angeles Unified will be required to pay its special assessment unless there has been a formal determination that it is exempt.

The City has limited funding to provide certain services, and BIDs are able to supplement services that may benefit the community. Supporting a BID is voluntary by the Board, however Los Angeles Unified is obligated to pay the special assessment should the City Council vote to pass the BID petitions presented.

Attachments:

None

Informatives:

None

Submitted:

03/12/24

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RESPECTFULLY SUBMITTED,



ALBERTO M. CARVALHO
Superintendent

APPROVED BY:



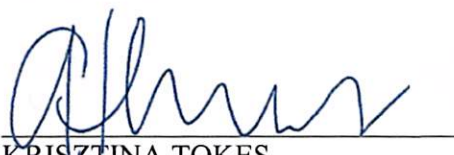
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